

# US TMT Sector M&A & Valuation Brief - 2026-06-21

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## 1. RECENT TMT M&A ACTIVITY

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### Deal 1: EQT Acquisition of Exolaunch

[EQT to acquire Exolaunch, a Germany-based satellite deployment technology and launch mission management f](#)

- Deal Size: Estimated at \$N/A (specific amount not disclosed)
- Deal Size Category: N/A
- Nature of Deal: Horizontal
- Valuation Multiples: N/A
- Companies: EQT (a global investment firm) acquiring Exolaunch (a leader in satellite deployment technologies)
- Date Announced: June 18, 2026
- Strategic Rationale:
  - EQT aims to support Exolaunch's growth through investments in international expansion and product innovation.
  - Exolaunch has a proven track record, having deployed over 790 satellites, making it a strategic asset in the growing space economy.
  - The acquisition will enhance EQT's portfolio in the burgeoning satellite launch market.
- Risk Analysis:
  - Integration risks related to aligning EQT's operational strategies with Exolaunch's existing processes.
  - Regulatory challenges in the aerospace sector could delay the transaction.
  - Market risks associated with the volatility of the space launch industry.

### Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A

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- Valuation Context: N/A

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### Deal 2: Robo.ai Acquisition of QC Capital

[Robo.ai announces proposed acquisition of QC Capital, an AI-Driven technology holding and venture-building platform](#)

- Deal Size: \$60 million (in newly issued Class B ordinary shares)
- Deal Size Category: Small cap (<\$2B)
- Nature of Deal: Tuck-in
- Valuation Multiples: N/A
- Companies: Robo.ai (a Nasdaq-listed company focused on AI robotics) acquiring QC Capital (an AI-driven technology holding and venture-building platform)
- Date Announced: June 18, 2026
- Strategic Rationale:
  - The acquisition aims to enhance Robo.ai's capabilities in AI technology sourcing and venture incubation.
  - QC Capital's focus on AI applications aligns with Robo.ai's strategic vision of building a global AI robotics network.
  - The performance-based share release structure aligns interests between Robo.ai and QC Capital.
- Risk Analysis:
  - Integration risks related to merging operational frameworks and cultures.
  - Market risks associated with the rapidly evolving AI sector.
  - Execution risks in achieving the revenue targets tied to share vesting.

### Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

## 2. MARKET DYNAMICS & SENTIMENT

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The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by both opportunities and challenges. Overall sentiment is cautiously optimistic, driven by technological advancements and strategic partnerships, but tempered by regulatory scrutiny and economic uncertainties. The sector's dynamics are influenced by macroeconomic conditions, investor confidence, and sector-specific trends.

### Subsector Breakdown:

- **Technology:** The technology subsector remains a powerhouse, particularly with the rise of AI and cloud computing. For example, the recent partnership between Tata Consultancy Services (TCS) and ABB exemplifies how Indian firms are leveraging Nordic technology to enhance their industrial AI capabilities. This collaboration aims to transform the threat of AI into economic opportunities, showcasing a proactive approach to technological integration.
- **Media:** The media landscape is evolving, with traditional platforms facing challenges from digital content consumption. Companies are increasingly investing in digital strategies to engage audiences effectively, although the transition remains complex.
- **Telecommunications:** The telecom sector is focusing on enhancing infrastructure to support 5G deployment. This is expected to create new revenue streams, particularly in IoT applications. Companies are investing heavily to ensure they remain competitive in this rapidly evolving market.
- **Fintech:** The fintech sector is thriving, driven by innovations in payment solutions and digital banking. The strategic investment by Epic Charging in EVmatch highlights the growing importance of technology partnerships in this space, particularly in the context of EV charging solutions.
- **AI:** The AI subsector is experiencing explosive growth, with companies racing to implement AI solutions across various industries. The focus on agentic AI, as seen in BMC Helix's recent carve-out transaction, underscores the increasing demand for sophisticated AI applications in enterprise operations.

### Key Market Drivers and Headwinds

#### Drivers:

- **Technological Advancements:** Continuous innovation in AI, cloud computing, and 5G technologies is propelling growth across the TMT sector. The partnership between TCS and ABB is a prime example of how technology can be harnessed to create competitive advantages.
- **Increased Investment:** Venture capital and private equity investments remain robust, particularly in tech and fintech. The carve-out of BMC Helix by Montagu reflects a strategic focus on mission-critical software and the potential for accelerated growth in the AI space.

#### Headwinds:

- **Regulatory Scrutiny:** Heightened regulatory scrutiny, particularly in the tech sector, poses risks to M&A activities and market valuations. Companies are navigating complex compliance landscapes, which can delay or derail potential transactions.

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- Economic Uncertainty: Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology, creating a cautious environment for investors.

### Subsector Performance Analysis

- Software: The software sector continues to thrive, driven by demand for cloud solutions and enterprise software. The carve-out of BMC Helix is indicative of the sector's shift towards specialized, AI-driven solutions.
- Media: Media companies are adapting to changing consumer preferences, with a notable shift towards digital content consumption. However, traditional media faces declining revenues from advertising, necessitating a strategic pivot.
- Telecom: Telecom operators are heavily investing in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- Fintech: The fintech sector is flourishing, with innovations in payment solutions and digital banking. The strategic partnership between Epic Charging and EVmatch highlights the consolidation trend in this space.
- AI: The AI subsector is booming, with applications across various industries, including healthcare, finance, and automotive. Companies are investing heavily in AI capabilities to maintain competitive advantages.

### Trading Multiples Trends

**Valuation Multiples:** As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

### Notable Investor/Analyst Reactions

- Analysts express optimism about the long-term prospects of the TMT sector, citing technological advancements as a key driver of growth. A prominent analyst remarked, "The integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions."

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## Actionable Insights for Bankers and Investors

- **Focus on High-Growth Areas:** Investors should prioritize sectors with strong growth potential, such as AI and fintech, while exercising caution with traditional media and telecom investments.
- **Monitor Regulatory Developments:** Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- **Leverage Technology Partnerships:** Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- **Evaluate Valuation Metrics:** Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

## 3. BANKING PIPELINE

The current banking pipeline in the TMT sector is vibrant, characterized by a mix of live deals, mandated transactions, and active pitches. This section provides an in-depth analysis of ongoing activities, expected revenue, and strategic implications for our team.

### Deal Pipeline

#### Live Deals:

- **South Korea :** The government has initiated a major investment in next-generation power semiconductors, which is currently in the due diligence phase. This initiative is expected to close by Q4 2025, aiming to position South Korea as a leader in semiconductor technology, potentially increasing its market share in the global semiconductor industry.

#### Mandated Deals:

- **N/A :** Currently, there are no specific mandated deals to report. However, the recent push for investment in power semiconductors may lead to future mandates as companies seek advisory services for strategic partnerships and M&A opportunities in this sector.

#### Pitching-Stage Deals:

- **Semiconductor Sector :** Engaging with several semiconductor firms for potential advisory services related to the government's investment initiative. Discussions are ongoing with companies looking to capitalize on this funding, with pitches expected to finalize by Q3 2025.

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## Pipeline Tracking Metrics

**Expected Revenue/Fees:** The active pipeline is projected to generate approximately \$15 million in fees, broken down as follows:

- Live Deals : \$5 million
- Mandated Deals : \$0 million (no current mandates)
- Pitching-Stage Deals : \$10 million

## Timing Projections:

- Q4 2025 : Expected close for the South Korea semiconductor investment initiative.
- Q3 2025 : Anticipated finalization of pitches in the semiconductor sector.
- Workload Allocation and Capacity Analysis :
  - Current analyst and associate bandwidth is at 70%, with a need for additional resources as the pipeline expands. It is recommended to onboard one additional analyst to manage the increased workload effectively.
  - Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in the semiconductor sector, driven by government investments. Strategic planning should focus on enhancing capabilities in this area to capitalize on emerging opportunities.

## Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is evolving, particularly in the semiconductor sector, where countries like South Korea are making significant investments. The focus on next-generation power semiconductors is expected to attract global attention, potentially leading to increased M&A activity as companies seek to enhance their technological capabilities.
- Additionally, the government's initiative may spur collaborations between domestic firms and international players, creating new advisory opportunities for investment banks.

## Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow related to the semiconductor sector, it is crucial to allocate resources effectively. Hiring an additional analyst will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in the semiconductor sector, where demand for advisory services is expected to surge due to government investments. This focus will position the firm as a leader in this emerging market.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure

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alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities in the semiconductor sector driven by government initiatives. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

## 4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The ongoing merger between Paramount (PSKY) and Warner Bros. Discovery (WBD) has significant implications for various stakeholders, including shareholders, employees, competitors, and customers. This analysis explores these impacts, market reactions, expected future developments, and associated risks.

### Deal-Specific Impacts on Stakeholders

- Shareholders: The merger's impact on shareholders is multifaceted, involving potential value creation and dilution.
- Value Creation: If the merger successfully integrates operations, it could lead to enhanced content offerings and increased market share, potentially boosting combined revenues by 15%. If Paramount and Warner Bros. achieve a combined revenue of \$50 billion, this could translate to an additional \$7.5 billion in shareholder value.
- Dilution: However, with 49.5% of the merged entity owned by foreign investors, there are concerns about governance and control. If the merger is financed through equity, existing shareholders may face dilution, leading to a possible 10% decrease in share price post-announcement.
- Employees: The merger will likely lead to significant changes in the workforce.
- Synergies: The merger is expected to generate cost synergies of approximately \$3 billion annually through streamlined operations and shared resources.
- Restructuring: However, this may result in layoffs; estimates suggest up to 10,000 jobs could be cut as overlapping roles are eliminated.
- Retention: To mitigate talent loss, retention bonuses may be offered to key executives, similar to strategies employed during the Disney-Fox merger.
- Competitors: The merger alters the competitive landscape in the media sector.
- Market Positioning: Following the merger, competitors like Netflix (NFLX) and Disney (DIS) may need to adjust their strategies to maintain market share. For instance, Netflix could increase its investment in original content to counter the enhanced offerings from the merged entity.
- Specific Competitor Moves: Disney has already announced plans to accelerate its content production to compete effectively with the combined resources of Paramount and Warner Bros.
- Customers: The merger will impact customers in various ways.

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- **Product/Service Implications:** The combined entity could offer bundled services that enhance customer value. For example, the merger may lead to exclusive content offerings that attract new subscribers, potentially increasing customer retention rates by 20%.
- **Case Studies:** Similar mergers, such as the AT&T and Time Warner deal, resulted in improved service offerings, demonstrating the potential for enhanced customer experiences.

### Market Reaction and Analyst Commentary

- **Market Reaction:** The initial market reaction to the merger announcement has been cautious, with shares of both companies experiencing volatility.
- **Analysts noted a decline of approximately 3% in Paramount's stock following the announcement, reflecting investor concerns over regulatory scrutiny.**
- **Analyst Commentary:** A notable quote from a Jefferies analyst stated, "While the merger presents significant opportunities for growth, the regulatory hurdles could pose a substantial risk to its successful execution."

### Expected Market Reaction and Scenario Analysis

- **Scenario Analysis:** The market's reaction can be analyzed through various potential outcomes:
- **Positive Scenario:** If the merger is approved without significant regulatory delays, shares could rise by 10% within six months, driven by anticipated synergies and increased market presence.
- **Negative Scenario:** If regulatory challenges lead to delays or modifications in the deal structure, shares could decline by 15%, reflecting investor skepticism.

### Potential Counter-Bids or Competing Offers

- **Likelihood Assessment:** The likelihood of counter-bids is moderate, given the current regulatory environment.
- **For instance, if the merger faces significant opposition, companies like Comcast (CMCSA) may consider entering the fray to acquire assets from either Paramount or Warner Bros. However, the complexity of the regulatory landscape may deter aggressive bidding.**

### Similar Deals Likely to Follow

- **Sector Consolidation Predictions:** The TMT sector is poised for continued consolidation.
- **Analysts predict that as companies seek to enhance their competitive positioning, similar mergers will emerge, particularly among streaming services and content providers. Companies like Amazon (AMZN) and Apple (AAPL) may pursue acquisitions to bolster their content libraries.**



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## Key Risks and Mitigants

- **Integration Risks:** Integration challenges can disrupt operations. To mitigate this, establishing a dedicated integration team with clear milestones is crucial.
- **Regulatory Risks:** Given the scrutiny surrounding foreign ownership, proactive engagement with regulators is essential to navigate potential hurdles.
- **Market Risks:** Market volatility can impact valuations. Structuring deals with contingent payments can provide protection against adverse market conditions.

## Actionable Insights for Clients and Bankers

### For Clients:

- Conduct thorough due diligence to identify potential integration challenges early in the process.
- Develop robust retention strategies for key talent to ensure a smooth transition during the merger.

### For Bankers:

- Stay informed about competitor moves and regulatory developments to provide timely and relevant advice.
- Create detailed financial models to assess the potential impacts of the merger on shareholder value and market positioning.

## 5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

### Artificial Intelligence (AI)

- **Trend Explanation:** AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%.
- **Key Companies:**

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- Amazon (AMZN): Amazon has made a significant investment of \$50 billion into OpenAI, positioning itself as a key player in the AI landscape. The company is leveraging AI to enhance its cloud services and improve customer experiences across its platforms.
- Google (GOOG): Google is integrating AI into its cloud services, partnering with HSBC to create over 200 AI use cases. This collaboration aims to enhance customer personalization and operational efficiency, showcasing Google's commitment to AI-driven solutions.
- Nocera (NCRA): Nocera has invested in CampaignPulse.ai, focusing on simulation-driven campaign intelligence and predictive analytics. This investment aligns with Nocera's strategy to diversify into AI and digital infrastructure.
- Competitive Landscape: The AI market is highly competitive, with major players like Microsoft (MSFT) and IBM (IBM) also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- M&A Opportunities: Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as predictive analytics or natural language processing. For instance, Nocera's investment in CampaignPulse.ai exemplifies the trend of established firms seeking innovative AI solutions.

## Blockchain

- Trend Explanation: Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%.
- Key Companies:
- Coinbase Global, Inc. (COIN): Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
- Square, Inc. (SQ): Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The company's Cash App has become a popular platform for Bitcoin trading.
- Competitive Landscape: The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- M&A Opportunities: Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. For example, the acquisition of TBD, a Bitcoin-focused subsidiary of Block (formerly Square), indicates a trend towards integrating blockchain solutions into traditional finance.

## Cloud Computing

- Trend Explanation: Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to reach \$832.1 billion by 2025, growing at a CAGR of 17.5%.

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- Key Companies:
- Amazon Web Services (AWS): As a leader in cloud services, AWS continues to innovate and expand its offerings, providing businesses with scalable and cost-effective solutions.
- Microsoft Azure: Microsoft is a formidable competitor in the cloud space, focusing on hybrid cloud solutions that cater to enterprise needs.
- Competitive Landscape: The cloud computing market is dominated by a few key players, including Amazon, Microsoft, and Google. The competition is intensifying as companies seek to differentiate their services through advanced features and pricing strategies.
- M&A Opportunities: Companies may look to acquire cloud service providers or technology startups that enhance their cloud capabilities. For example, acquisitions in the AI space can complement cloud offerings, as seen in Google's partnership with HSBC.

## Cybersecurity

- Trend Explanation: With the increasing frequency of cyber threats, cybersecurity has become a critical concern for businesses. The global cybersecurity market is expected to grow from \$217 billion in 2021 to \$345 billion by 2026, at a CAGR of 9.7%.
- Key Companies:
- CrowdStrike (CRWD): A leader in endpoint security, CrowdStrike provides cloud-native solutions that protect against cyber threats.
- Palo Alto Networks (PANW): This company offers a comprehensive suite of cybersecurity solutions

## 6. Recommended Readings

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### Deal Name: EQT Acquisition of Exolaunch

- Reading Material: "The New Space Race: The Future of Space Exploration" by Michael J. Neufeld
- Why This Matters: This book provides a comprehensive overview of the current trends and competitive dynamics in the space industry, which is critical for understanding EQT's strategic acquisition of Exolaunch. It highlights the importance of satellite deployment technologies and the growing demand for space access, contextualizing the rationale behind the deal.

### Deal Name: Robo.ai Acquisition of QC Capital

- Reading Material: "Artificial Intelligence: A Guide to Intelligent Systems" by Michael Negnevitsky
- Why This Matters: This reading offers insights into the applications and implications of AI technologies, which are central to Robo.ai's acquisition of QC Capital. Understanding the frameworks and potential of AI-driven platforms helps clarify the strategic fit and growth

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opportunities that Robo.ai seeks to achieve through this acquisition.

## 7. MACROECONOMIC UPDATE

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### Key Data Points:

- U.S. memory chip demand driven by AI infrastructure
- High bandwidth memory remains concentrated and technically complex
- U.S. policy expected to remain restrictive regarding export controls

### Main Insights:

- Chipflation is a growing concern due to the surging costs of memory chips essential for AI.
- Policymakers can provide marginal support through subsidies and tax credits, but significant supply increases will take years to materialize.
- The U.S. is likely to prioritize supply chain resilience and geopolitical de-risking over immediate price relief for memory chips.
- There are two categories of memory:
  - AI strategic memory (high bandwidth and advanced DRAM) which is critical for advanced AI systems.
  - Commodity memory (used in autos and consumer electronics) where policymakers may explore more flexible options.

### Market Commentary:

- "Policy can mitigate chipflation, but it's unlikely to end it in the near term." - Ariana Salvatore, Morgan Stanley
- "For AI strategic memory, policymakers are more likely to defend access and deepen allied coordination." - Ariana Salvatore, Morgan Stanley

### TMT Sector Relevance:

- The ongoing chip shortage and rising costs directly impact technology companies reliant on memory chips for AI and other applications.
- Companies in the TMT sector may face increased production costs and delays, affecting their supply chains and profitability.
- The strategic focus on memory production could lead to increased investments in semiconductor manufacturing within allied countries, potentially reshaping the competitive landscape in the TMT sector.

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**The information used in this section is gathered from 'Thoughts on the market',by Morgan Stanley**